

Global Energy Storage

Sungrow Power Supply Co., Ltd

Rating

Outperform

Price Target

300274.CH

151.00 RMB (185.00 OLD)



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Sungrow: History says buy the fear. Outperform

President Trump's Executive Order has increased scrutiny on Sungrow's US utility-related power equipment business, but does not necessarily imply an outright ban.

This is not the first US attempt to secure the bulk-power system from perceived foreign threats. EO13920, introduced six years ago on similar national-security grounds, ultimately resulted in limited commercial disruption, with restrictions largely confined to defense-related applications rather than the broader power market. Chinese power equipment exports to the US continued to grow in the years that followed. The next 120 days of DOE rulemaking will be critical in determining the ultimate commercial impact.

Current valuations already discount a significant deterioration in the US business. We estimate the US contributes c.20% of revenue and c.27% of gross profit. Under a full US-exit scenario, our valuation falls to the mid-RMB90/share range, broadly in line with current levels. Our base case, however, assumes continued US market access under heightened regulatory scrutiny rather than outright exclusion.

While 1H26 results were mixed, we expect a stronger 2H26. Revenue came in at RMB15.4bn (-37% YoY), below consensus of RMB24.3bn, reflecting weak China solar demand and lower Middle East project deliveries. However, 2Q26 gross margin of 39% (consensus 29%) increased sharply, while net profit of RMB3.0bn was broadly in line with consensus. Looking ahead, we expect earnings to improve as ESS deliveries accelerate (60% + of annual ESS shipments). Record contract liabilities provide visibility for stronger revenue recognition in 2H26, while data center related opportunities (SST + ESS), support meaningful growth of >100% CAGR over medium term.

Investment Implications

We lower our price target to RMB151/share from RMB185/share but maintain our Outperform. We lower our earnings to reflect weaker solar demand and lower ESS pricing assumptions given more competitive pressure. We also lowered our WACC assumptions from 8.6% to 8.2%. Importantly, our revised valuation assumes continued US sales with greater regulatory oversight. Stock is trading at 12x 2027 P/E which is at trough levels.

Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
300274.CH (RMB)	6.55	6.93	7.95	Revenues (M)	89,184	95,925	110,507	11.3%	Reported P/E (x)	15.1	14.3	12.4
OLD	--	8.22	9.33	EBIT (M)	16,214	17,018	19,490	--	EV/Sales (x)	2.2	2.1	1.8
				EBITDA (M)	16,190	17,735	20,437	--				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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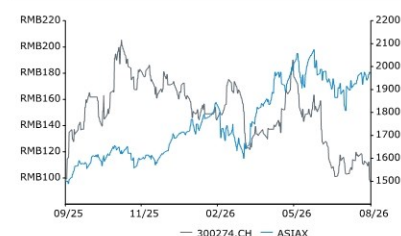
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Close Date	27 Aug 2026
300274.CH Close Price (RMB)	98.84
Price Target (RMB)	151.00
Upside/(Downside)	53%
52-Week Range	209.88/94.50
ASIAX	1,972.56
FYE	Dec
Div Yield	1.4%
Market Cap (RMB) (M)	204,916
EV (RMB) (M)	200,078

Performance	YTD	1M	6M	12M
Absolute (%)	(42.2)	(11.8)	(31.6)	(0.7)
ASIAX (%)	20.6	3.0	7.3	32.0
Relative (%)	(62.8)	(14.8)	(38.9)	(32.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

A NATIONAL EMERGENCY TO SECURE US BULK-POWER SYSTEM... AGAIN?

President Trump's Executive Order (EO) 14420, "Declaring a National Emergency to Secure the United States Bulk-Power System," signed on August 26, marks a significant escalation in US scrutiny of foreign-supplied power infrastructure (see details in the link: [Declaring a National Emergency to Secure the United States Bulk-Power System – The White House](#)). The order declares a national emergency related to perceived security vulnerabilities associated with foreign-produced equipment used in the US power grid and grants the Department of Energy (DOE) broad authority to review, restrict, condition, or potentially prohibit equipment and related services deemed to pose national security risks.

The EO generally targets foreign-produced bulk-power-system equipment that could create cybersecurity, operational, or supply-chain risks to US critical infrastructure. It empowers DOE to identify risky equipment, create implementation rules, and impose conditions on both future and, in some cases, existing installations.

The order covers equipment associated with the US bulk-power system, historically defined around transmission infrastructure operating at 69kV and above, rather than local distribution networks. Local distribution facilities are explicitly excluded.

The biggest uncertainty is implementation. DOE has been directed to publish detailed implementation rules, including which entities, technologies, projects and installations ultimately fall under the order's restrictions. Those rules are expected by late 2026 and will likely determine the actual commercial impact.

EXHIBIT 1: President Trump's Executive Order (EO) 14420, "Declaring a National Emergency to Secure the United States Bulk-Power System," signed on August 26, marks a significant escalation in US scrutiny of foreign-supplied power infrastructure

DECLARING A NATIONAL EMERGENCY TO SECURE THE UNITED STATES BULK-POWER SYSTEM

Executive Orders | August 26, 2026

EXECUTIVE ORDER 14420

By the authority vested in me as President by the Constitution and the laws of the United States of America, including the International Emergency Economic Powers Act (50 U.S.C. 1701 *et seq.*) (IEEPA), the National Emergencies Act (50 U.S.C. 1601 *et seq.*) (NEA), and section 301 of title 3, United States Code, I hereby determine and order:

Section 1. National Emergency. As President of the United States, my highest duty is protecting the national security, foreign policy, and economy of this country. Certain foreign actors are increasingly creating and exploiting vulnerabilities in the United States bulk-power system, which provides the electricity that supports our national defense, vital emergency services, critical infrastructure, and economy. During my first term, I found that the bulk-power system could be a target of those seeking to commit malicious acts against the United States, including malicious cyber activities, because of the significant risks that a successful attack would have on our economy, human health and safety, and national defense. Since my first term, the threat to the United States regarding foreign supply of bulk-power system electric equipment has become even more acute: The rapid growth of advanced manufacturing, data centers, artificial intelligence, and defense production has increased the Nation's dependence on abundant, reliable electricity and magnified the consequences of a successful attack or supply disruption on the bulk-power system.

The minimal restrictions on acquisition or operation in the United States of foreign-produced bulk-power system electric equipment augment the ability of some foreign entities to create and exploit vulnerabilities in such equipment; for instance, such equipment might have digital backdoors built into their systems that allow a foreign country to access that equipment remotely. Further, continued United States reliance on foreign sources of bulk-power system electric equipment with these potential national security vulnerabilities also creates a supply chain vulnerability that could eliminate the supply of these products in the United States as a result of disruptions in international trade or other causes.

Source: The White House, Bernstein analysis

While the latest EO has raised investor concerns around Chinese participation in US power infrastructure, this is not the first time Washington has pursued such a policy. In May 2020, President Trump signed EO 13920, "Securing the United States Bulk-Power System," which was built around many of the same national security concerns that underpin EO 14420 today (see details in the link: [Executive Order on Securing the United States Bulk-Power System – The White House](#)).

In many respects, EO 14420 represents a second attempt to address concerns that policymakers first identified more than six years ago. EO 13920 similarly warned that foreign adversaries could exploit vulnerabilities in the US bulk-power system and granted the Department of Energy (DOE) authority to review and restrict equipment considered a threat to national security. The order was also centred on the bulk-power system and the risks posed by foreign-supplied equipment used in critical electricity infrastructure.

EXHIBIT 2: In May 2020, President Trump signed EO 13920, "Securing the United States Bulk-Power System," which was built around many of the same national security concerns that underpin EO 14420 today

EXECUTIVE ORDERS

Executive Order on Securing the United States Bulk-Power System

— INFRASTRUCTURE & TECHNOLOGY | Issued on: May 1, 2020

★ ★ ★

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ALL NEWS

By the authority vested in me as President by the Constitution and the laws of the United States of America, including the International Emergency Economic Powers Act (50 U.S.C. 1701 et seq.) (IEEPA), the National Emergencies Act (50 U.S.C. 1601 et seq.) (NEA), and section 301 of title 3, United States Code,

I, DONALD J. TRUMP, President of the United States of America, find that foreign adversaries are increasingly creating and exploiting vulnerabilities in the United States bulk-power system, which provides the electricity that supports our national defense, vital emergency services, critical infrastructure, economy, and way of life. The bulk-power system is a target of those seeking to commit malicious acts against the United States and its people, including malicious cyber activities, because a successful attack on our bulk-power system would present significant risks to our economy, human health and safety, and would render the United States less capable of acting in defense of itself and its allies.

I further find that the unrestricted acquisition or use in the United States of bulk-power system electric equipment designed, developed, manufactured, or supplied by persons owned by, controlled by, or subject to the jurisdiction or direction of foreign adversaries augments the ability of foreign adversaries to create and exploit vulnerabilities in bulk-power system electric equipment, with potentially catastrophic effects.

Source: The White House, Bernstein analysis

A comparison shows that much of the underlying rationale is nearly identical. Both orders describe foreign actors as increasingly exploiting vulnerabilities in the US bulk-power system, both emphasize the importance of electricity infrastructure to national security and economic stability, and both argue that foreign-supplied equipment could create cybersecurity and operational risks. In fact, EO 14420 explicitly references concerns first identified during President Trump's first term, effectively positioning the latest order as a continuation of an existing policy effort rather than a fundamentally new direction. The two orders also share the same core focus on the US bulk-power system, historically associated with transmission infrastructure rather than local electricity distribution networks. As a result, EO 14420 should be viewed less as the creation of a new regulatory framework and more as a second attempt to address a concern that policymakers have been discussing for years.

EXHIBIT 3: **A comparison shows that much of the underlying rationale and objective are identical**

	Securing the United States Bulk-Power System (EO 13920 - May 2020)	Declaring a National Emergency to Secure the United States Bulk-Power System (EO 14420 - Aug 2026)	Difference
Primary Action	Allows DOE to prohibit future acquisition, import, transfer or installation of bulk-power equipment supplied by foreign adversaries	Allows DOE to prohibit future acquisition, import, transfer or installation of bulk-power equipment supplied by Covered Foreign Entities and impose conditions on existing installed equipment	Expands DOE authority and broadens enforcement beyond future transactions
Bulk Power System Definition	Transmission systems ≥69kV; excludes local distribution	Transmission systems ≥69kV; excludes local distribution	No meaningful change in the voltage threshold.
DOE Rulemaking Deadline	150 days	120 days	Faster implementation timeline for the new EO.
Products Impacted	Grid equipment (transformers, relays, generators, control systems).	Grid equipment plus ESS, PCS, utility-scale/grid-connected inverters, UPS, software and firmware	Expand to broader power equipment
Existing Installed Equipment	Primarily focused on future transactions	DOE may impose conditions on previously installed equipment	Broader enforcement
Federal Procurement	Created procurement task force	Explicit push toward US-manufactured energy infrastructure	Larger push for localization

Source: The White House, Bernstein analysis

What is different this time is that EO14420 explicitly brings grid-connected inverters, PCS and battery energy storage systems into scope, making it materially more relevant to Sungrow. As a result, regulatory risk is concentrated in Sungrow's US utility-scale inverter and storage businesses, particularly utility PV inverters, PowerTitan ESS and PCS products. By contrast, C&I and residential products appear less exposed given their connection to local distribution rather than transmission networks. FCC restrictions primarily affect future product certifications, while EO14420 creates additional uncertainty around future utility-scale project deployments.

EXHIBIT 4: What is different this time is that E014420 explicitly brings grid-connected inverters, PCS and battery energy storage systems into scope, making it materially more relevant to Sungrow

Sungrow Product	FCC Restrictions	Executive Order	Potential Impact
Utility PV Inverters	Affected for future certifications	Potentially affected if connected to bulk-power systems (>69kV), subject to DOE implementation	High
Power Conversion Systems (PCS)	Affected for future certifications	Potentially affected if connected to bulk-power systems (>69kV), subject to DOE implementation	High
PowerTitan Utility ESS	Affected for future certifications	Potentially affected if connected to bulk-power systems (>69kV), subject to DOE implementation	High
C&I Storage Systems	Affected for future certifications	Limited impact	Medium
C&I Inverters	Affected for future certifications	Limited impact	Medium
SST for Data Centers	Currently not directly targeted	Limited impact	Low-Medium
AIDC Power Products	Currently not directly targeted	Limited impact	Low-Medium
Residential Inverters	Affected for future certifications	No	Low
Residential Storage Systems	Affected for future certifications	No	Low

Source: The White House, Bernstein analysis

The existence of EO 13920 serves as a useful reminder that announcements of an EO alone do not necessarily determine outcomes. The 2020 order established a broadly similar national security framework, yet its practical impact on the power supply chain proved limited. DOE did not ban all Chinese transformers or all Chinese power equipment from the US. According to DOE's own description, it applied only to a limited number of utilities that served designated defense facilities and only to specified equipment categories posing an undue security risk.

In our view, EO 13920 was constrained by three factors. First, implementation required extensive DOE rulemaking, resulting in a lengthy gap between the executive order and enforceable restrictions. Second, policymakers had to balance national security objectives against grid reliability, project economics and deployment targets. Third, many utilities and developers remained dependent on global supply chains, limiting the feasibility of a rapid transition away from foreign equipment. As a result, the order ultimately led to higher levels of procurement scrutiny and cybersecurity review rather than widespread market exclusion.

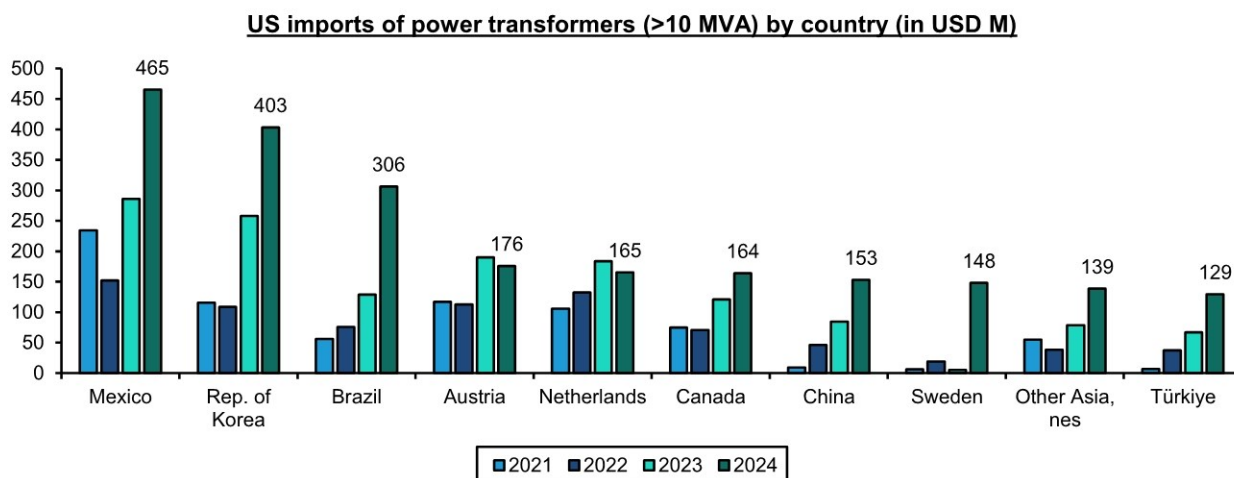
EXHIBIT 5: The 2020 order established a broadly similar national security framework, yet its practical impact on the power supply chain proved limited. DOE did not ban all Chinese transformers or all Chinese power equipment from the US

Date	Event	What happened	Scope / sector impact
1-May-20	EO 13920 signed	Declared a national emergency and authorized DOE to prohibit certain acquisitions, imports, transfers or installations of foreign-supplied bulk-power equipment.	Broad authority, but no immediate market-wide ban. Implementation depended on subsequent DOE action.
17-Dec-20	DOE prohibition order issued	DOE issued the Prohibition Order Securing Critical Defense Facilities under EO 13920.	Applied only to a limited number of utilities serving designated Critical Defense Facilities and specified PRC-supplied equipment.
16-Jan-21	Prohibition order effective	Covered utilities became subject to restrictions on acquiring, importing, transferring or installing specified Chinese bulk-power equipment.	Focused on future procurement for covered defense-related facilities.
20-Jan-21	EO 13920 suspended	The Biden Administration suspended EO 13920 for 90 days while DOE and OMB reviewed its breadth, scope and administrability.	Compliance filings and implementation activity were paused shortly after the prohibition order became effective.
20-Apr-21	DOE prohibition order revoked	DOE revoked the December 2020 prohibition order to create a stable policy environment while developing a more workable security strategy.	The targeted restrictions were withdrawn approximately three months after taking effect.
1-May-21	Emergency declaration expired	The one-year national emergency underlying EO 13920 expired.	No nationwide ban, mass equipment replacement or broad market exclusion was implemented.

Source: Bernstein analysis

Chinese suppliers continued to participate in the US market, renewable deployment continued to expand, and there was no widespread removal of installed equipment. Notably, even power transformers, one of the key categories of grid equipment explicitly targeted under EO 13920, continued to be imported from China in significant volumes in the years that followed, suggesting that the policy had a more limited impact on actual procurement patterns than initially feared.

EXHIBIT 6: Despite heightened regulatory risks, US procurement of Chinese grid equipment continued to grow in recent years



Source: UN, Bernstein analysis

The key question today is whether EO 14420 will prove different. The bearish argument is that the latest order is more comprehensive, explicitly covering technologies such as utility-scale inverters, battery energy storage systems, software and remote-access capabilities, categories that are much more relevant to Sungrow than the traditional grid equipment emphasized

in 2020. The bullish argument is that the same structural constraints that limited the effectiveness of EO 13920 remain in place today: the US continues to require significant investment in power infrastructure, domestic manufacturing capacity remains under development, and large portions of the energy transition supply chain are still globally sourced. Until DOE provides more detailed implementation guidance, we believe historical experience argues for caution before assuming a material financial impact.

SCENARIO ANALYSIS OF A FULL US EXIT

While the situation remains fluid and uncertainty persists, our base case assumes Sungrow can continue operating in the US under a more scrutinized regulatory environment rather than being fully excluded. The company believes its products can continue to satisfy FCC authorization requirements, while historical precedent suggests prior measures focused more on monitoring, review and procurement scrutiny than outright market exclusion. Management has also indicated that existing products should retain a multi-year sales runway and that US business is more likely to decline gradually than disappear abruptly.

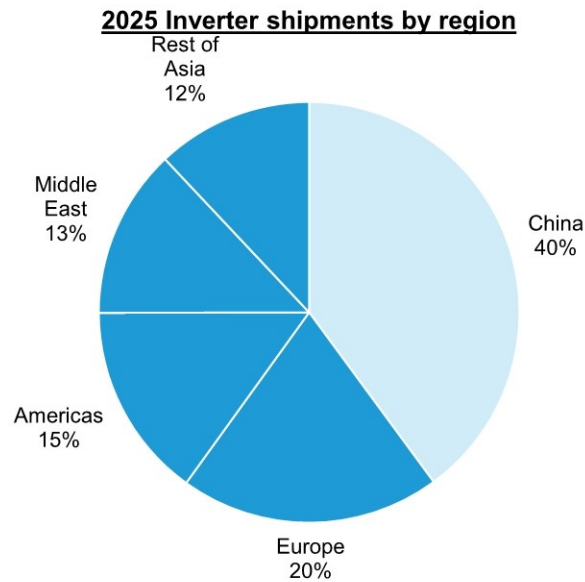
Nevertheless, given the lack of clarity surrounding DOE implementation and the possibility of a more restrictive interpretation of EO 14420, we have conducted a downside scenario analysis to assess the potential financial exposure.

EXHIBIT 7: Key policies impacting Chinese power supply chain manufacturers

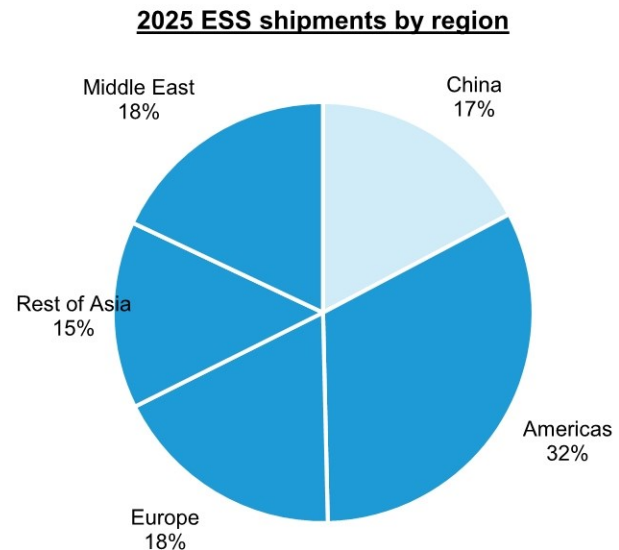
Regulation / Policies (Announced)	Trump Executive Order on Bulk Power System Equipment (08/26/26)	FCC Equipment Authorization Restrictions (07/28/26)	FEOC / IRA Restrictions (Aug 2022)	Section 301 / Tariffs (2018)
<i>What does it do?</i>	<i>Directs DOE to develop rules on equipment used in US bulk power systems, focusing on national security risks associated with foreign adversary supply chains.</i>	<i>Restricts FCC certification for equipment deemed national security risks. New certifications become more difficult, while existing approved products may continue to be sold.</i>	<i>Restricts eligibility for certain tax credits where projects contain prohibited foreign entities or excessive Chinese content.</i>	<i>Increases import costs for Chinese-manufactured products entering the US.</i>
<i>Equipment Targeted</i>	<i>Equipment connected to transmission and bulk power infrastructure, including PCS, utility-scale inverters, transformers and grid-connected storage equipment.</i>	<i>Inverters, PCS, storage systems and other power electronics that contain communications functionality.</i>	<i>Utility-scale ESS, battery supply chains, renewable energy projects.</i>	<i>Solar equipment, batteries, power electronics and related equipment.</i>
<i>Implication for Chinese Suppliers</i>	<i>Increases regulatory uncertainty for Chinese suppliers participating in utility-scale US power infrastructure projects. Final scope remains unclear.</i>	<i>Makes it harder to launch new products in the US and may limit future product refresh cycles. Existing products generally less affected.</i>	<i>Encourages localization and non-China sourcing of certain project components to maintain incentive eligibility.</i>	<i>Reduces cost competitiveness of direct China exports and incentivizes local or third-country manufacturing.</i>

Source: Government data, Bernstein analysis

The scenario should be viewed as a stress test designed to quantify the lower bound of estimates rather than a forecast of likely outcomes. Our analysis assumes a full loss of US inverter and ESS sales, using our estimated regional shipment mix of 15% US exposure for inverters and 32% for ESS. We further assume that US sales carry higher profitability than the company average, reflecting the historically more attractive economics of overseas markets.

EXHIBIT 8: **US accounts for around 15% of inverter sales**

Source: Company data, Bernstein analysis

EXHIBIT 9: **US accounts for around 30% of ESS sales**

Source: Company data, Bernstein analysis

Our sensitivity analysis suggests that even a moderate loss of US sales would be manageable, with a 50% reduction in US revenue translating into a c.10% revenue impact and c.14% gross profit impact. A full US exit would reduce revenue by c.21% and gross profit by c.27%, with group gross margin compressing from 32% to 29%. While this downside is not insignificant, we view it as a stress case rather than a likely outcome given the lack of implementation clarity.

EXHIBIT 10: **A full US exit would reduce revenue by c.21% and gross profit by c.27%, with group gross margin compressing from 32% to 29%**

Scenario	US sales lost	Revenue (RMB m)	Revenue impact	GP (RMB m)	GPM
No Impact	0%	89,184	-	28,389	31.8%
Limited	25%	84,617	(5.1%)	26,462	31.3%
Moderate	50%	80,049	(10.2%)	24,536	30.7%
Severe	75%	75,481	(15.4%)	22,609	30.0%
Full exit	100%	70,914	(20.5%)	20,683	29.2%

Sensitivity based on 2025 financials

Source: Company data, Bernstein estimates and analysis

As Sungrow does not disclose regional revenue, ASP or profitability, the sensitivity analysis relies on a number of assumptions. We assume the US accounts for 15% of inverter shipments and 32% of ESS shipments. We further assume US projects command higher pricing and profitability than the segment average, with 25% and 15% ASP premiums for inverters and ESS respectively, and gross margin premiums of 8ppt and 5ppt. Based on these assumptions, we estimate the US contributes c.RMB18bn of revenue, equivalent to 21% of group revenue, and c.RMB7.7bn of gross profit, equivalent to 27% of group gross profit.

EXHIBIT 11: **Key assumptions for our sensitivity analysis**

Key assumptions			
Assumption	PV Inverters	ESS	
US share of shipments	15.0%	32.0%	
US ASP premium vs non-US	25.0%	15.0%	
US GPM premium vs segment average	8.0%	5.0%	

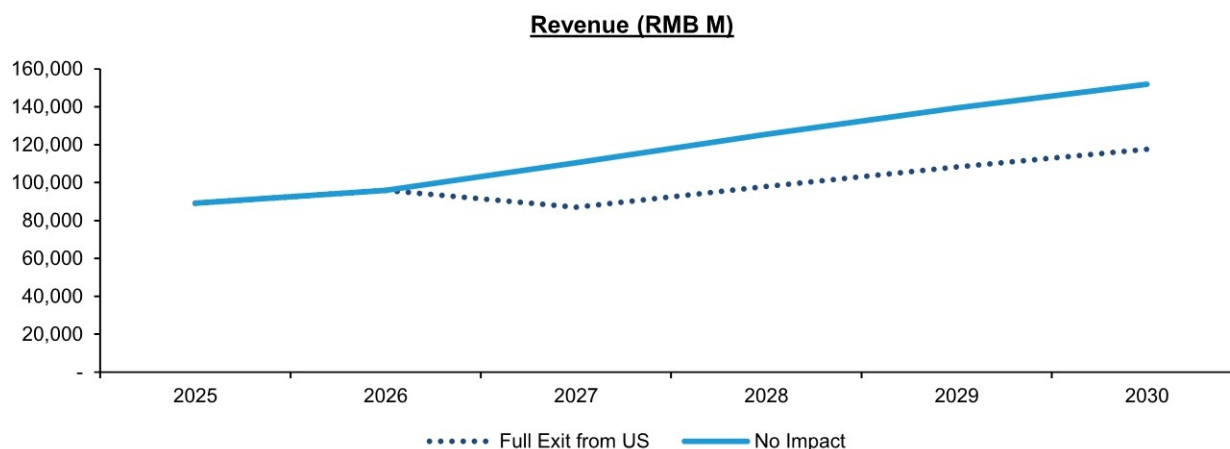
2025 baseline from supplied model			
Metric	PV Inverters	ESS	Company
Revenue (RMB m)	28,650	37,287	89,184
Gross margin	35.9%	36.5%	31.8%
Gross profit (RMB m)	10,291	13,604	28,389

Implied US exposure			
Metric	PV Inverters	ESS	Inverters + ESS
US revenue (RMB m)	5,178	13,093	18,271
US GPM	43.9%	41.5%	42.2%
US gross profit (RMB m)	2,274	5,432	7,706
US share of group revenue	5.8%	14.7%	20.5%
US share of group GP	8.0%	19.1%	27.1%

Source: Company data, Bernstein estimates and analysis

To illustrate the potential downside under a more restrictive regulatory outcome, we model a scenario in which Sungrow loses all US inverter and ESS sales from 2027 onwards. Under our base case (limited impact from US policies), revenue is projected to grow from RMB89bn in 2025 to RMB152bn by 2030, implying an 11% CAGR, while net profit is expected to increase from RMB13.5bn to RMB23.9bn, equivalent to a 12% CAGR.

Under a full US-exit scenario, growth slows materially. Revenue reaches RMB117bn by 2030, implying a 2025-30 CAGR of 6%, versus 11% in our base case. Gross profit growth slows more significantly, reflecting our assumption that US sales carry above-average profitability. As a result, group gross margin declines from c.31% in the base case to c.28% by 2027-30. Net profit reaches RMB15.7bn by 2030, implying only a 3% earnings CAGR over 2025-30.

EXHIBIT 12: **Under a full US-exit scenario, growth slows materially. Revenue reaches RMB117bn by 2030, implying a 2025-30 CAGR of 6%, versus 11% in our base case**

Source: Company data, Bernstein estimates and analysis

The cumulative impact on valuation is meaningful. Our DCF valuation declines from RMB151/share under the base case to RMB96/share under the full-exit scenario. Overall the company could remain profitable and continue growing even without the US market, although the loss of a higher-margin growth region would materially reduce Sungrow's long-term earnings power

and valuation.

EXHIBIT 13: Our DCF valuation declines from RMB151/share under the base case to RMB96/share under the full-exit scenario

No Impact	2025	2026	2027	2028	2029	2030	2025-30 CAGR
Revenue	89,184	95,925	110,507	125,449	139,422	151,940	11%
Gross Profit	28,389	30,171	34,041	38,528	42,644	46,319	10%
GPM	31.8%	31.5%	30.8%	30.7%	30.6%	30.5%	
Net Profit	13,461	14,367	16,473	19,146	21,620	23,877	12%
DCF Valuation (RMB/sh)	151						

Full Exit from US	2025	2026	2027	2028	2029	2030	2025-30 CAGR
Revenue	89,184	95,925	87,053	98,024	108,312	117,633	6%
Gross Profit	28,389	30,171	24,638	27,834	30,789	33,433	3%
GPM	31.8%	31.5%	28.3%	28.4%	28.4%	28.4%	
Net Profit	13,461	14,367	10,495	12,439	14,171	15,746	3%
DCF Valuation (RMB/sh)	96						

Source: Company data, Bernstein estimates and analysis

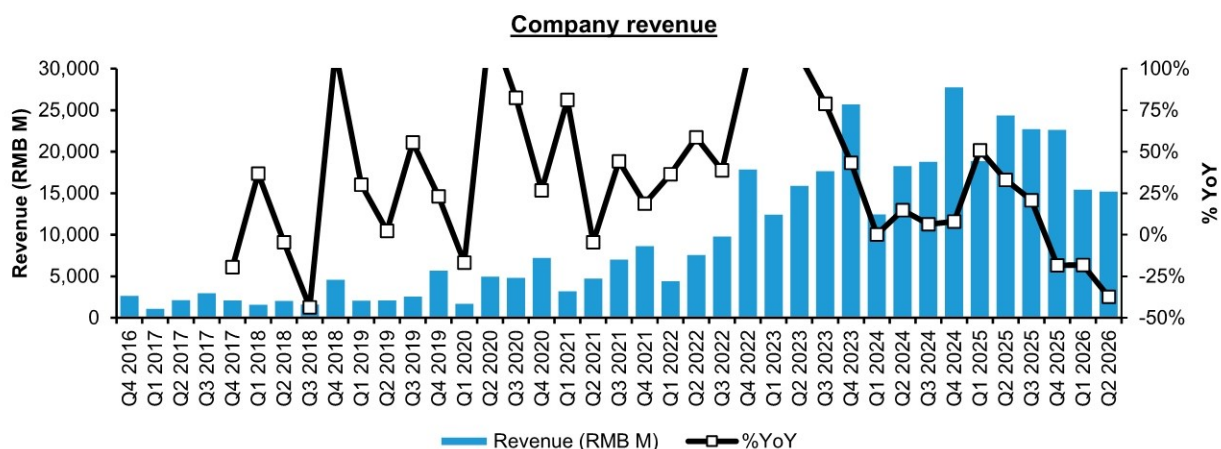
2Q26 EARNINGS HIGHLIGHTS

Industry development:

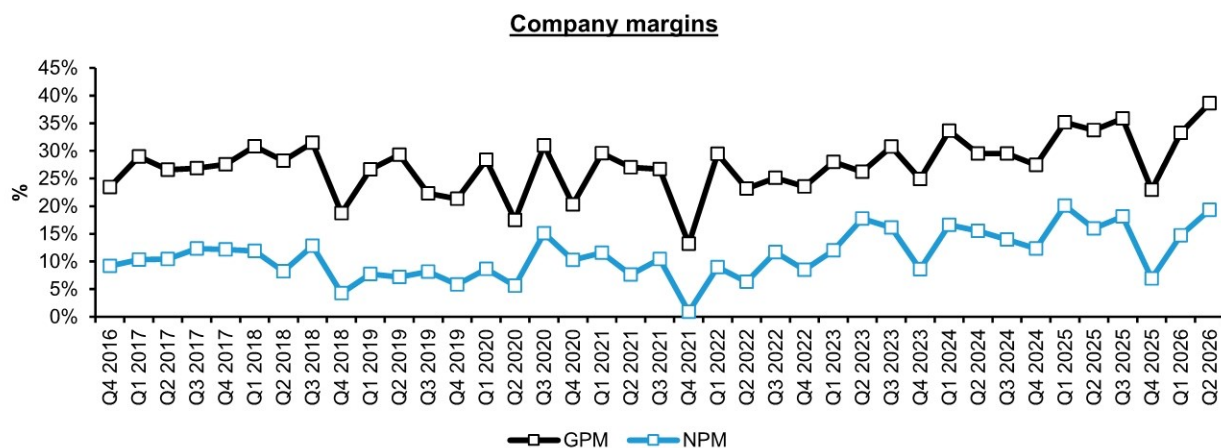
- **Solar PV market:** Global PV installations reached approximately 177GW in 1H26 (-43% YoY). China installations declined sharply to 72GW (-66% YoY) following the impact of Policy No.136, while overseas installations reached 105GW (+8% YoY). Overseas demand remained broadly in line with management's expectations, with overseas markets accounting for nearly 60% of global installations versus ~30% a year ago.
- **Energy storage market:** Global lithium battery energy storage installations exceeded 140GWh in 1H26 (+30% YoY). China installations reached 69GWh (+21% YoY), while overseas installations exceeded 89GWh (+40% YoY). Europe remained the strongest region, with installations growing approximately 70-80% YoY, while Asia-Pacific grew close to 100% YoY. US growth was more moderate due to project timing
- **Wind market:** Global wind installations were broadly flat YoY in 1H26, with both domestic and overseas markets showing limited growth.

Financials:

- **Revenue:** 1H26 revenue declined 29% YoY to RMB30.9bn, reflecting lower China solar demand, reduced new energy development activity and fewer large Middle East storage project deliveries compared with 1H25. 2Q26 revenue was approximately RMB15.3bn, below consensus revenue expectations of RMB24.3bn
- **Profitability:** Profitability materially exceeded expectations. Gross margin improved to 38% in 2Q26, up from 33% in 1Q26 and well above consensus expectations of 29%, while net margin improved from 14% to 19% sequentially.

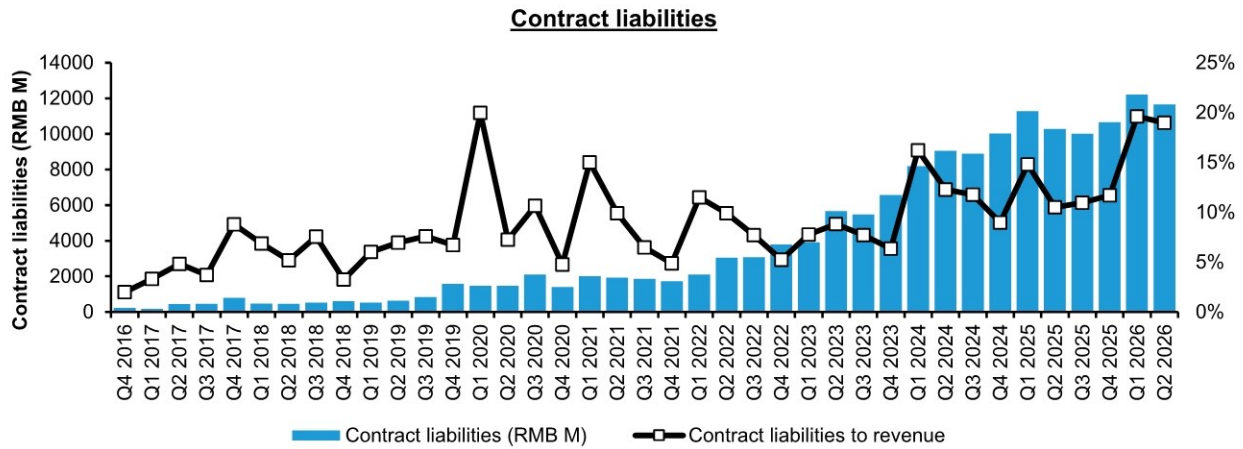
EXHIBIT 14: **Sungrow's quarterly revenue**

Source: Company data, Bernstein analysis

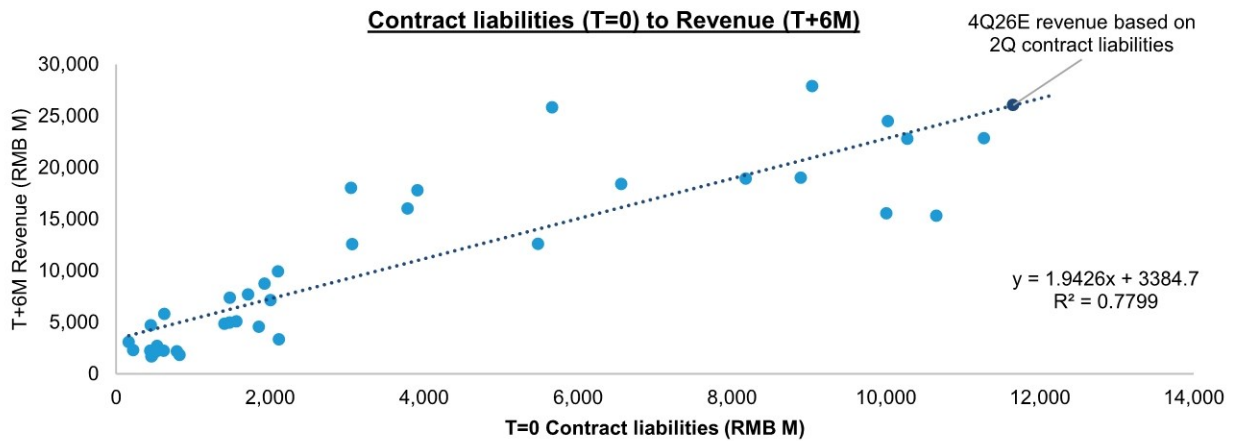
EXHIBIT 15: **Sungrow's quarterly GPM and NPM**

Source: Company data, Bernstein analysis

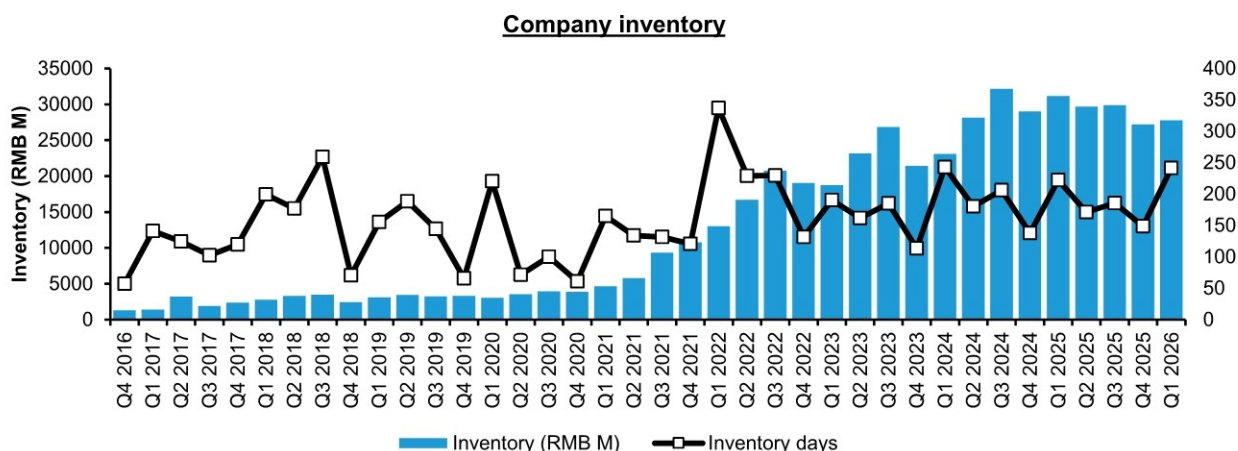
- **Order visibility:** Contract liabilities rose to RMB11.7bn, representing roughly 19% of annualized revenue, while inventory increased RMB4.9bn as the company built storage inventory ahead of deliveries. We view the combination of higher customer advances, inventory accumulation and improving collections as a constructive setup for 2H26. Notably, contract liabilities have historically been a strong leading indicator of Sungrow's revenue, and the current balance remains consistent with management's expectation for a heavily back-end loaded year, with more than 60% of annual storage shipments scheduled for 2H26.

EXHIBIT 16: **Contract liabilities rose to RMB11.7bn, representing roughly 19% of annualized revenue**

Source: Company data, Bernstein analysis

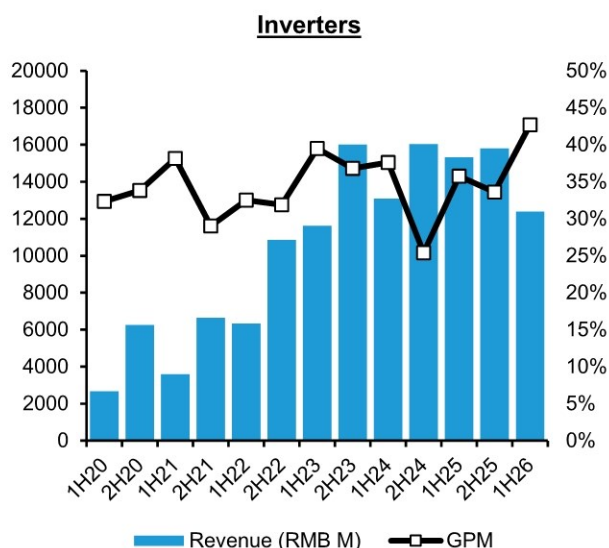
EXHIBIT 17: **The increased in contract liabilities indicate strong 2H revenue recognition**

Source: Company data, Bernstein estimates and analysis

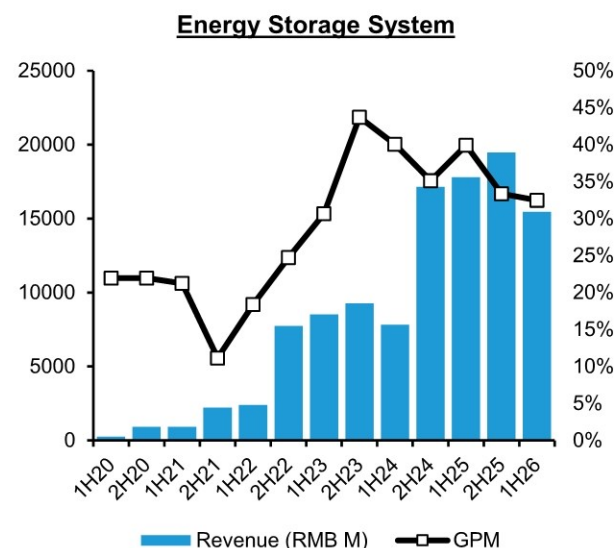
EXHIBIT 18: **Sungrow's quarterly inventory**

Source: Company data, Bernstein analysis

- **Inverter business:** Inverter shipments declined to 66GW from 76GW in 1H25, primarily due to weaker domestic installations. Revenue reached RMB10.8bn, while profitability improved due to higher overseas mix and stronger product mix.
- **Energy storage business:** Storage shipments reached 25GWh (+28% YoY), but storage revenue declined to RMB15.4bn (-13% YoY) due to weaker contribution from Middle East projects and lower industry pricing. Storage gross margin improved sequentially from approximately 30% in 1Q26 to 35% in 2Q26.

EXHIBIT 19: **Inverters sales and GPM**

Source: Company data, Bernstein analysis

EXHIBIT 20: **ESS sales and GPM**

Source: Company data, Bernstein analysis

Outlook:

- **FCC equipment restriction:** Management indicated that existing certified products can continue to be sold, with the primary impact falling on future product certifications and new model approvals. Given the relatively slow product refresh cycle in the US utility market, management believes current products should maintain a multi-year sales runway.

Nevertheless, FCC restrictions raise the cost and complexity of maintaining a competitive US product portfolio over time and could constrain future market share gains.

- Executive Order 14420 on Bulk Power System:** The recently announced Executive Order potentially represents a more significant development because it directly targets equipment used within the US bulk-power system. Unlike prior measures focused primarily on product certification or financial incentives, the Executive Order explicitly names utility-scale and grid-connected inverters, battery energy storage systems and associated control systems among the categories subject to review. Critically, however, the order only applies to bulk-power systems, defined as transmission infrastructure operating at 69kV and above, while explicitly excluding local electricity distribution systems. DOE must publish detailed implementation rules within 120 days, leaving substantial uncertainty regarding the ultimate scope and enforcement of the measure. Management argued that much of Sungrow's current US portfolio may fall outside the immediate scope of the Executive Order. The company highlighted that many solar and storage projects are connected at 13.8kV and 34.5kV rather than at transmission-level voltages. As such, the eventual impact will depend heavily on how DOE defines the boundary between distribution-level assets and bulk-power infrastructure. Sungrow intends to reduce reliance on the US market by accelerating growth in Europe, APAC, Latin America and distributed energy markets. Management also suggested that partnerships with overseas suppliers and service providers could provide alternative routes to serving portions of the North American market.
- AIDC orders:** Management remained increasingly constructive on AIDC-related opportunities and believes demand growth could exceed 100% annually over the next several years. The company distinguishes between two opportunities: (1) data center storage deployments, including both co-located grid-scale storage and on-site storage used to support power quality and reliability; and (2) AIDC power infrastructure, including solid-state transformers and next-generation power supply solutions. Management disclosed it has already secured approximately 2GWh of AIDC-related storage orders, with a pipeline exceeding 10GWh currently under discussion. Several leading AI and cloud providers in both China and North America are actively evaluating Sungrow's solutions, and the company believes it is well-positioned due to its expertise across renewable generation, energy storage and power electronics. Management highlighted that data center operators increasingly view storage not only as backup power but also as a tool for load balancing, power quality management and energy arbitrage, creating a potentially large incremental market beyond traditional utility-scale storage. Management expects meaningful adoption of data center storage solutions beginning in 2027 and believes AIDC could become a major growth driver over the medium term.
- SST progress:** The company has already delivered several SST units to customers, which are expected to begin commercial operation in data center applications during 4Q26. These represent some of the industry's first real-world deployments of SST technology. Management indicated that product validation is progressing with leading AI and cloud service providers, while internal testing infrastructure for dynamic load simulation, grid emulation and high-voltage applications has largely been completed. The current commercial product portfolio focuses on 10kV and 13.8kV applications, while development of a 35kV SST platform remains on track, with prototype completion expected during 2027. Management expects 2027 to be a year of small-scale commercial deployment and customer validation, with broader commercialization occurring during 2028-30 as data center architectures migrate toward higher-voltage DC power distribution systems. The company believes future AI data centers will increasingly require direct medium-voltage power conversion, creating a potentially large market for SST products. Importantly, management noted that global SST commercialization remains at a very early stage, and industry standards, technology architecture and customer preferences are still evolving.
- Gross margin outlook:** Management reiterated that inverter margins remain relatively stable, while large-scale storage margins are likely to trend lower over time due to longer-duration projects, lithium price volatility and ongoing competition. However, competition has begun to moderate, with some weaker competitors exiting the market. Management expects another 1-2 years of industry consolidation before market conditions fully normalize.
- Energy storage shipment outlook:** Management disclosed that 1H26 storage shipments of 25GWh represented less than 40% of full-year deliveries, implying FY26 shipments of approximately 63-70GWh. Europe storage demand expectations were revised upward from approximately 60GWh to 74GWh for 2026. Management continues to expect Europe storage demand growth of more than 50% annually over the next three years. More than 60% of FY26 storage deliveries are expected in 2H26, resulting in a significantly back-end-loaded delivery profile.

COMPANY OUTLOOK AND VALUATION

Sungrow remains highly profitable with OPM in the mid-double digits with strong return on capital. We value Sungrow on a DCF basis which gives us a price target of RMB151/sh and implies target 2026E P/S of 3.3x, EV/EBITDA of 17x and P/E of 22x.

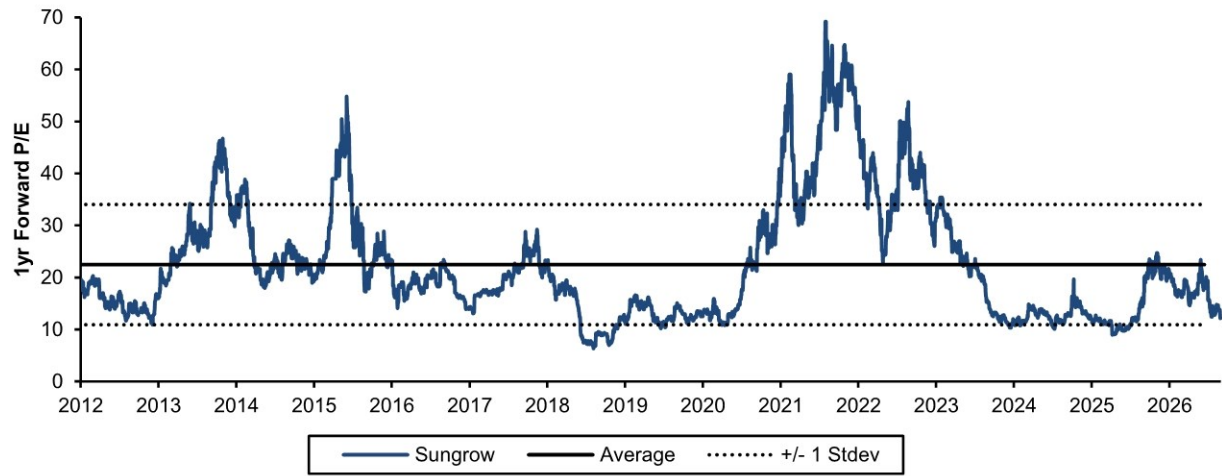
EXHIBIT 21: We value Sungrow on DCF with a price target of RMB151/sh

Sungrow - Discounted Cash Flow												
RMB mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-2050E	Terminal
Revenue (RMB mn)	24,137	40,257	72,251	77,857	89,184	95,925	110,507	125,449	139,422	151,940		
Sales Growth		66.8%	79.5%	7.8%	14.5%	7.6%	15.2%	13.5%	11.1%	9.0%		
EBIT	1,573	3,434	11,093	13,004	14,974	16,468	18,940	21,993	24,770	27,244		
EBIT Margin	6.5%	8.5%	15.4%	16.7%	16.8%	17.2%	17.1%	17.5%	17.8%	17.9%		
Tax	189	439	1,851	2,280	2,727	2,751	3,154	3,666	4,140	4,572		
% of EBIT	12.0%	12.8%	16.7%	17.5%	18.2%	16.7%	16.7%	16.7%	16.7%	16.8%		
NOPAT	1,384	2,995	9,242	10,724	12,247	13,717	15,786	18,327	20,630	22,672		
D&A	285	351	477	812	1,025	1,266	1,496	1,744	2,008	2,288		
% of sales	1.2%	0.9%	0.7%	1.0%	1.1%	1.3%	1.4%	1.4%	1.4%	1.5%		
(CapEx)	(1,666)	(1,527)	(2,741)	(2,786)	(3,008)	(2,750)	(3,000)	(3,200)	(3,400)	(3,600)		
% of sales	6.9%	3.8%	3.8%	3.6%	3.4%	2.9%	2.7%	2.6%	2.4%	2.4%		
(Change in WC)	(3,627)	(4,152)	(6,811)	(2,216)	(385)	(7,466)	(3,757)	(3,966)	(3,691)	(3,304)		
% of sales	15.0%	10.3%	9.4%	2.8%	0.4%	7.8%	3.4%	3.2%	2.6%	2.2%		
FCF	(3,624)	(2,332)	165	6,534	9,879	4,768	10,525	12,906	15,547	18,056	561,029	568,519
DCF Valuation												
WACC	8.17%											
Assumed Perpetual Growth	2%											
NPV of FCF to 2050	219,050											
Enterprise Value (EV)	298,836											
Less: Debt	5,993											
Less: Minority Interests	3,161											
Add: Cash	22,831											
Equity Value (RMB M)	312,513											
Equity Value (RMB/sh)	151.0											
Target Multiple												
2026 P/E	21.8											
2026 EV/EBITDA	16.9											
2026 P/S	3.3											
WACC												
Risk Free Rate	1.7%											
Equity Beta	1.3											
Market Risk Premium	6.2%											
Cost of Equity	9.8%											
After-tax Cost of Debt	1.6%											
Target net debt to capital	20.0%											
WACC	8.2%											
NPV												
2025-2030	47,146											
2031-2050	171,904											
Terminal	79,786											
Total	298,836											
Earnings Growth 2025-2030												
Reinvestment Rate	31%											
ROE	24%											
Implied Earnings Growth	7%											
NOPAT CAGR	13%											
Implied Multiple												
2025 EV/EBITDA	16.9x											
2030 EV/EBITDA	12.6x											
2030 Capex/DD&A	1.6x											
2050 Capex/DD&A	1.6x											

Source: Company data, Bernstein estimates and analysis

Sungrow is currently trading around 12x P/E which is below the long term average reflecting slower growth than historically. On the other hand, the stock looks inexpensive in view of strong financial position and leading market share in the industry.

EXHIBIT 22: **Sungrow's 1-yr forward P/E**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 23: Sungrow financial outlook

Sungrow Power Supply Co., Ltd (300274 CH)

RMB millions, except per share amounts

Income Statement (RMB M)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	24,137	40,257	72,251	77,857	89,184	95,925	110,507	125,449	139,422	151,940
COGS	-18,765	-30,376	-52,613	-54,545	-60,795	-65,754	-76,466	-86,921	-96,777	-105,620
Gross profit	5,371	9,881	19,638	23,312	28,389	30,171	34,041	38,528	42,644	46,319
S&M expenses	-1,583	-3,169	-2,872	-3,761	-4,832	-4,604	-5,304	-6,022	-6,692	-7,293
G&A expenses	-491	-612	-873	-1,201	-1,715	-1,844	-2,125	-2,412	-2,681	-2,921
R&D expenses	-1,161	-1,692	-2,447	-3,164	-4,175	-4,500	-4,500	-4,500	-4,500	-4,500
Operating income	1,573	3,434	11,093	13,004	14,974	16,468	18,940	21,993	24,770	27,244
Finance income (expense)	-61	-131	-121	-135	46	176	224	371	556	783
Share of profit of associate/JCE	-1,161	-1,692	-2,447	-3,164	-4,175	-4,500	-4,500	-4,500	-4,500	-4,500
Other non-operating income (expense)	1,542	2,523	2,935	3,839	5,415	5,050	5,050	5,050	5,050	5,050
Profit before income tax	1,893	4,134	11,460	13,544	16,260	17,194	19,714	22,915	25,875	28,576
Income tax expense	-189	-439	-1,851	-2,280	-2,727	-2,751	-3,154	-3,666	-4,140	-4,572
Net income	1,704	3,695	9,609	11,264	13,533	14,443	16,560	19,248	21,735	24,004
Minority interest	-121	-102	-169	-228	-72	-76	-88	-102	-115	-127
Net income attributable to equity holders	1,583	3,593	9,440	11,036	13,461	14,367	16,473	19,146	21,620	23,877
EPS (RMB/sh)	1.08	1.73	4.54	5.32	6.53	6.93	7.95	9.24	10.43	11.52
GPM	22%	25%	27%	30%	32%	31%	31%	31%	31%	30%
OPM	7%	9%	15%	17%	17%	17%	17%	18%	18%	18%
NPM	7%	9%	13%	14%	15%	15%	15%	15%	16%	16%
Revenue %YoY	25%	67%	79%	8%	15%	8%	15%	14%	11%	9%
OP %YoY	-26%	118%	223%	17%	15%	10%	15%	16%	13%	10%
NI %YoY	-14%	117%	160%	17%	20%	7%	15%	16%	13%	10%
Balance Sheet (RMB M)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalents	7,790	11,667	18,031	19,799	22,831	25,451	33,456	43,454	55,782	70,395
Trade receivables (A/R)	9,532	14,891	21,791	27,640	23,500	30,486	35,120	39,869	44,309	48,288
Inventories	10,768	19,060	21,442	29,028	27,255	32,427	37,709	42,865	47,726	52,087
Other current assets	8,217	6,376	8,021	18,681	21,843	21,025	24,221	27,496	30,558	33,302
Current assets	36,307	51,994	69,284	95,149	95,428	109,388	130,506	153,683	178,375	204,072
Property, plant and equipment	4,670	5,732	8,124	11,267	13,674	15,157	16,661	18,117	19,508	20,820
Other non-current assets	1,862	3,900	5,469	8,659	9,577	9,577	9,577	9,577	9,577	9,577
Non-current assets	6,533	9,632	13,593	19,925	23,251	24,735	26,238	27,694	29,085	30,397
Total assets	42,840	61,626	82,877	115,074	118,679	134,123	156,744	181,377	207,461	234,469
Trade payables (A/P)	17,765	25,926	28,486	36,757	36,636	39,272	45,670	51,915	57,801	63,083
Short-Term Borrowings	1,730	2,232	4,135	6,139	2,928	2,928	2,928	2,928	2,928	2,928
Other current liabilities	4,013	7,311	13,316	17,402	17,664	18,901	21,859	24,828	27,615	30,112
Current liabilities	23,507	35,469	45,937	60,298	57,228	61,101	70,457	79,671	88,344	96,123
Long-Term Borrowings	1,891	4,162	4,180	4,863	3,065	3,065	3,065	3,065	3,065	3,065
Other non-current liabilities	738	2,259	3,305	9,714	8,615	8,615	8,615	8,615	8,615	8,615
Non-current liabilities	2,629	6,421	7,485	14,577	11,680	11,680	11,680	11,680	11,680	11,680
Total liabilities	26,136	41,889	53,422	74,875	68,908	72,781	82,137	91,351	100,023	107,803
Total equity	16,704	19,737	29,455	40,199	49,772	61,342	74,607	90,026	107,437	126,666
Total liabilities and equity	42,840	61,626	82,877	115,074	118,679	134,123	156,744	181,377	207,461	234,469
Cash flow statement (RMB M)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	1,704	3,695	9,609	11,264	13,533	14,443	16,560	19,248	21,735	24,004
Depreciation & Amortisation	298	468	678	995	1,216	1,266	1,496	1,744	2,008	2,288
Change in working capital	-3,627	-4,152	-6,811	-2,216	-385	-7,466	-3,757	-3,966	-3,691	-3,304
Others	-13	1,200	3,507	2,025	2,554	-176	-224	-371	-556	-783
Net cash from operating activities	-1,639	1,210	6,982	12,068	16,918	8,068	14,075	16,656	19,497	22,206
Increase in assets (tangible/intangible)	-1,666	-1,527	-2,741	-2,786	-3,008	-2,750	-3,000	-3,200	-3,400	-3,600
Others	-2,048	1,872	-1,080	-8,067	-263	0	0	0	0	0
Net cash from investing activities	-3,713	346	-3,821	-10,853	-3,271	-2,750	-3,000	-3,200	-3,400	-3,600
Borrow/Repay	1,370	3,192	3,289	897	-2,713	0	0	0	0	0
Equity	4,179	0	53	53	161	0	0	0	0	0
Dividends	-185	-220	-520	-1,603	-4,494	-2,873	-3,295	-3,829	-4,324	-4,775
Others	-185	-1,225	457	912	-2,248	176	224	371	556	783
Net cash from financing activities	5,179	1,747	3,280	259	-9,294	-2,698	-3,070	-3,458	-3,768	-3,993
Net increase in cash and cash equivalents	-193	3,242	6,465	1,450	4,281	2,620	8,005	9,998	12,328	14,613
Net Debt to Equity	-25%	-27%	-33%	-22%	-34%	-32%	-37%	-42%	-46%	-51%
Net Debt (Cash)	-4,169	-5,273	-9,716	-8,797	-16,838	-19,459	-27,463	-37,461	-49,789	-64,403
Invested Capital	20,325	26,131	37,769	51,201	55,764	67,334	80,600	96,019	113,430	132,659
ROIC	8%	13%	29%	24%	23%	22%	22%	21%	20%	19%

Source: Company data, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			27 Aug 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
300274.CH (Sungrow)	O	RMB	98.84	151.00	(32.7)%	RMB	6.55	6.93	7.95	15.1	14.3	12.4
OLD				185.00				8.22	9.33			
ASIA			1,972.56									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Sungrow Power Supply Co., Ltd**

We value Sungrow using the DCF approach using a WACC of 8.2% and a terminal growth rate of 2%. Our DCF model is based on annual free cash flow forecasts until 2050, plus a terminal value estimate to capture the continuing value of the company. Our price target is RMB151.

RISKS**Sungrow Power Supply Co., Ltd**

Downside risks are 1) slowdown in ESS demand driven by reduced AI spending, 2) higher US tariffs, 3) elevated inventory and margin pressure, 4) potential market share loss as industry becomes more fragmented and price-sensitive, and 5) policy shifts targeting Chinese suppliers.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

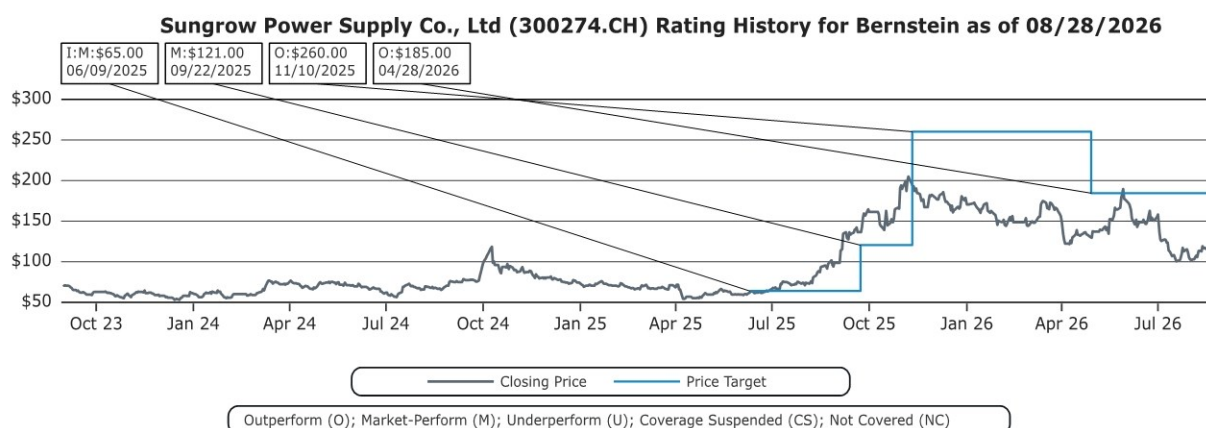
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months. As of June 30, 2026. All figures are updated quarterly.

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